



CA INTER MAY/SEP 26/JAN 27

GST

COMPOSITION SCHEME

ONE SHOT



Chapter 3B: Composition Scheme

Section 10 [Composition Scheme]

It is an alternative method of levy of tax designed for **small taxpayers**.

Eligibility

Small taxpayers with an AATO in PFY up to Rs. 1.5 crore shall be eligible for CS. However, Threshold limit is Rs. 75 lakh in respect of the **Special Category States** namely [NUSTA-M3]

Nagaland	Uttarakhand	Sikkim	Tripura
Arunachal Pradesh	Mizoram	Manipur	Meghalaya

Section 10(1) & (2) [Composition Scheme for Goods & Restaurant Services]

Suppliers availing CS were permitted to supply **other services** also upto higher of following:

- ✓ 10% of turnover in the state or union territory in PFY or
- ✓ Rs. 5,00,000 whichever is higher.

Calculation of AATO

It includes

1. Taxable supplies
2. Exempt supplies
3. Exports
4. Inter-State supplies of persons **having the same PAN**

Exclusions

- inward supplies under RCM
- Taxes under GST (i.e. CGST/SGST/UTGST/IGST/ Compensation Cess)
- Interest or discount on loan, deposit, advance, etc. being exempt supply

Note: ATO includes value of supplies from **1st April of a FY** up to the date of his becoming **liable for registration**

Withdrawal From Composition Scheme

option of a registered person to avail CS for G/S shall **lapse** with effect from the day on which his ATO during a FY exceeds the threshold limit.

Composition Rates

Registered Person	Rate
Manufacturer, other than manufacturer of Specified Goods	1% Of Turnover in state or UT
Person engaged in restaurant services	5% Of Turnover in state or UT
Any other Supplier of goods	1% Of Taxable Turnover in state or UT

Note: for the purposes of determining the Composition tax, turnover in State or UT shall not include

- ✓ supplies from **1st April of a FY** up to the date when such person becomes **liable for registration** and
- ✓ Interest or discount on loan, deposit, advance, etc. being **exempt supply**

Section 10(2A) [Composition Scheme for Service Provider]

A registered person whose ATO in PFY is up to Rs. 50 lakh shall be eligible to pay tax under this scheme @ **6%** upto **Rs. 50 lakhs** made from **1st April of CFY**.

Conditions for Opting to Pay Tax under Composition Scheme

- ✓ Restricted from making **supply of goods or services** which are not liable to GST
- ✓ Restricted from affecting **inter-State outward supplies** of goods or services
- ✓ Restricted from making supplies through **ECO – Only for Service Providers**. Supplier of Goods are now eligible to make supplies through ECO.
- ✓ Restriction on manufacture of **notified goods-**
Notified Goods: “PATI” ko “BRICKS” se peet
 - (i) Ice cream and other edible ice, **whether or not containing cocoa**
 - (ii) Pan masala
 - (iii) Tobacco and manufactured **tobacco substitutes**
 - (iv) Manufacture of Aerated Water
 - (v) Fly ash bricks; Fly ash blocks; Bricks of fossil meals or similar siliceous earths; Building bricks & Earthen or roofing tiles.
- ✓ Not Available to CTP/NRTP
- ✓ Would be applicable for all transactions under the same PAN
- ✓ Shall not collect tax also **Not entitled to input tax credit**.



- ✓ Such supplier shall mention the words “composition taxable person not eligible to collect tax on supplies” at the top of the bill of supply.
- ✓ not allowed to issue tax invoice

Opting for Composition Scheme

For New Person: As per Rule 3, A person applying for registration have the option to opt for CS in part B of REG-01.
CS shall be effective from the Effective date of registration.

For Existing Persons: As per Rule 4, An already registered person shall file an intimation in CMP-02, prior to the commencement of the FY.
CS shall be effective from the beginning of the next FY.
Also such person shall furnish statement in ITC-03 for reversal of ITC within 90 days from the date of commencement of CS.

Withdrawal from Composition Scheme

- ✓ As per Rule 6, If turnover exceeds Rs. 1,50,00,000/75,00,000/50,00,000, RP shall be shifted to normal scheme with immediate effect and he will give an intimation in CMP-04 within 7 days of exceeding the limit.
- ✓ RP can also voluntarily opt out of the scheme at any time and shall file an application in CMP-04
- ✓ RP shall be required to submit ITC-01 for availing ITC within 30 days from the date of withdrawal. Such withdrawal shall be applicable to all the places in all the states/UTs.





THANK
YOU